

Summary Outputs

100-Word Summary

The Capital Adequacy Requirements (CAR) Guideline 2024, effective January 2024, is issued by the Office of the Superintendent of Financial Institutions (OSFI) for Canadian banks. This comprehensive document establishes risk-based capital requirements covering nine main chapters: risk overview, capital definition, operational risk, credit risk (standardized and IRB approaches), securitization, settlement/counterparty risk, CVA risk, and market risk. It includes Basel Capital Adequacy Reporting (BCAR) procedures, implementation notes for IRB institutions, collateral management principles, and validation frameworks. The guideline provides detailed guidance on risk quantification, rating systems, and data maintenance for financial institutions.

10-Word Summary

OSFI's 2024 CAR Guideline establishes risk-based capital requirements for Canadian banks.